

Meta Platforms, Inc.

META NASDAQ

Buy \$570.05 ▲ 1.97% 12M Price Target \$685.00 52-Week Range \$520.26 – \$790.80

Market Cap \$1.45T

META: Settlement Clears Overhang, Ad Machine Keeps Humming

WHAT HAPPENED

- META just settled the big multi-state case over kids and social media harm for \$16.68B — sounds huge (and it is), but the stock is UP because Wall Street was bracing for something worse and an open-ended legal saga. Certainty > uncertainty, always. The stock has now rallied ~4.4% in three sessions on this "overhang removed" trade.
- Bullish options flow is screaming — the put/call ratio is 0.33 (meaning 3x more bets on the stock going UP than down), with unusual buying at the \$565-570 strikes. Someone with size thinks this run isn't done.

WHY IT MATTERS

The settlement is a "known cost of doing business" moment — \$16.68B sounds massive but it's roughly 10 weeks of free cash flow for Meta. What matters more is that the legal cloud that's been suppressing the multiple since 2023 is now quantified and closed. Here's the inference: with this behind them, management can pivot the narrative back to AI capex and Reality Labs without every earnings call getting derailed by "what's your legal exposure?" questions. The CFO selling ~\$2.7M in stock the week before this news is worth noting but not alarming — those are almost certainly pre-scheduled 10b5-1 sales, and the amounts are trivial relative to her holdings.

POLICY & POLITICAL WATCH

The Kids Online Safety Act (KOSA) is the big legislative one to watch — a version keeps cycling through Congress, and if it passes with a "duty of care" standard, it forces platforms to redesign feeds for minors (costly, but Meta can afford it while smaller competitors can't — regulatory moat). Also watch the FTC's ongoing antitrust case seeking to unwind Instagram/WhatsApp — that's the real tail risk, but proceedings have been slow and a breakup remains a low-probability outcome in the near term. On the tailwind side: the Trump administration's lighter-touch AI regulatory stance (executive orders favoring US AI leadership over EU-style guardrails) is directly bullish for Meta's open-source Llama strategy and their massive AI infrastructure buildout.

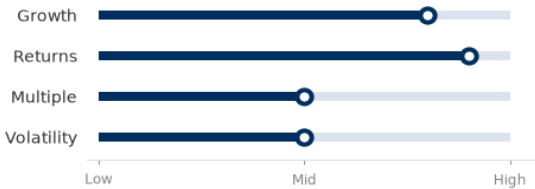
IS IT EXPENSIVE?

At ~\$570, Meta trades around 20-21x forward earnings — meaning you're paying about \$21 for every \$1 of profit the company will make next year. That's actually CHEAP for a business growing revenue ~15%+ with 35%+ operating margins. The stock is sitting at just 18% of its 52-week range (\$520-\$790), so you're buying closer to the lows than the highs of a company that's still a cash-printing machine. The discount exists because of legal fears (now fading) and Reality Labs losses (still \$15B+/year) — if either narrative improves, the multiple re-rates higher.

Key Data

Price (USD)	\$570.05
12M Price Target	\$685.00
Upside / (Downside)	+20.2%
Market Cap	\$1.45T
FY2026E Revenue	\$195M
FY2027E Revenue	\$224M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	20.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$600.00	\$580.00	\$545.00
6 Months	\$680.00	\$620.00	\$510.00
1 Year	\$780.00	\$685.00	\$480.00
2 Years	\$900.00	\$750.00	\$450.00
5 Years	\$1200.00	\$900.00	\$400.00
10 Years	\$1800.00	\$1200.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.44% over 5 days) is quietly the best-performing sector this week — that's Meta, Google, Netflix territory, and it's benefiting from a rotation OUT of pure tech into ad-supported cash cows ahead of Nvidia earnings.

COOLING OFF: Broader Technology (-2.09% over 5 days) is taking a breather as investors de-risk ahead of NVDA — the whole AI trade is holding its breath for that print tonight/tomorrow.

ROTATION WATCH: Money is rotating from AI infrastructure names (chips, hyperscalers) into AI *beneficiaries* (ad platforms, software) — that's a direct tailwind for META because they're seen as the company that captures AI value without needing to sell the shovels.

RELATED PLAY: If Meta's AI-driven ad targeting narrative gains steam, watch The Trade Desk (TTD) and AppLovin (APP) — the entire ad-tech ecosystem gets pulled along.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Same "cheap Big Tech with AI optionality" trade — search resilience story getting traction as AI Overviews monetize.
- NFLX (Netflix): Ad-tier scaling faster than expected, benefiting from the same ad-market strength lifting Meta.

META CONTEXT: Meta is leading the Communication Services sector this week and outperforming the broader tech tape by ~3 points over 5 days. That relative strength on the settlement news tells you the market wanted a reason to buy this stock — and it just got one. Leadership like this typically extends for a few weeks before consolidating.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$545-560 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% YoY or new state-level AG settlements exceed \$10B

Hedging: Pair with GOOGL long or buy Jan puts at \$520 strike